

Article | 10 September 2026

COMMODITIES DAILY

The Commodities Feed: Brent breaks above \$100/bbl amid US-Iran escalation

Oil prices continued to climb, with Brent breaking above \$100/bbl, as prospects for de-escalation between the US and Iran remained elusive, raising concerns over the security of energy flows



Energy - Iraq pushing for higher output quota

ICE Brent pushed through \$100/bbl yesterday for the first time since July, and that momentum has carried into early morning trading today. The move reflects a market still pricing in persistent geopolitical risk, with Persian Gulf tensions showing no credible path to de-escalation. If anything, current signals point to further escalation, keeping upside pressure firmly in place.

Iran said it is ready to intensify the war, while President Trump said that the war is likely to continue until just after the midterm elections in early November. The risk is that escalation starts leading to meaningful disruptions to Strait of Hormuz flows. Oil flows have surprised to the upside in recent weeks, but the market could tighten more sharply if ongoing escalation translates into disrupted oil flows once again.

Adding to the bullish sentiment is China's increased activity in the physical market, particularly in the North Sea, where Dated Brent has seen more strength. China, through much of the war,

has helped to rebalance the market through lower crude oil imports. While imports remain well below year-ago levels, they've started to recover from the lows seen in June; recent physical-market activity suggests this could continue. Crucial to the outlook — and to how much momentum this latest move can sustain — is Chinese buying behaviour. It will largely determine whether this rally has follow-through or fades.

Beyond Persian Gulf disruptions, OPEC+ members risk growing disagreement. Reports suggest Iraq is pushing for a significant increase in its output quota, hoping to use 6m b/d as its baseline for calculating quota levels. This is well above the 4.9m b/d that the IEA estimates as Iraq's sustainable production capacity. Given the difficult period Persian Gulf OPEC+ members have gone through this year, it will likely be difficult to persuade some producers to rein in production through 2027 if needed.

Overnight API data shows US crude oil inventories fell 300k barrels over the last week. Refined products saw gasoline stocks fall by 1.9m barrels, while distillate inventories grew by 2m barrels. The more widely followed EIA inventory report will be released later today. There's likely to be plenty of focus on distillate inventory changes, given the tightness in global diesel markets.

European natural gas prices moved higher yesterday, with TTF briefly breaking above EUR80/MWh and trading at its highest level since early 2023. A widening JKM-TTF spread provided some support. There were also reports that Ukrainian drones hit gas processing plants in Russia's Yamal region. EU gas storage stands at around 67% full, well below the 5-year average of 84%. This leaves the market vulnerable as we head closer towards the upcoming heating season.

Author

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@asia.ing.com

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or

THINK Economic and financial analysis

misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.